

SENTIENT ADVISORY

Tokenized Equity Long/Short Fundamental Relative Value

Own the AI supply chain, hedged · alpha not beta · Nickel DAL-compliant

Own the companies that SELL the AI buildout — hedged, inside a hard DD cap

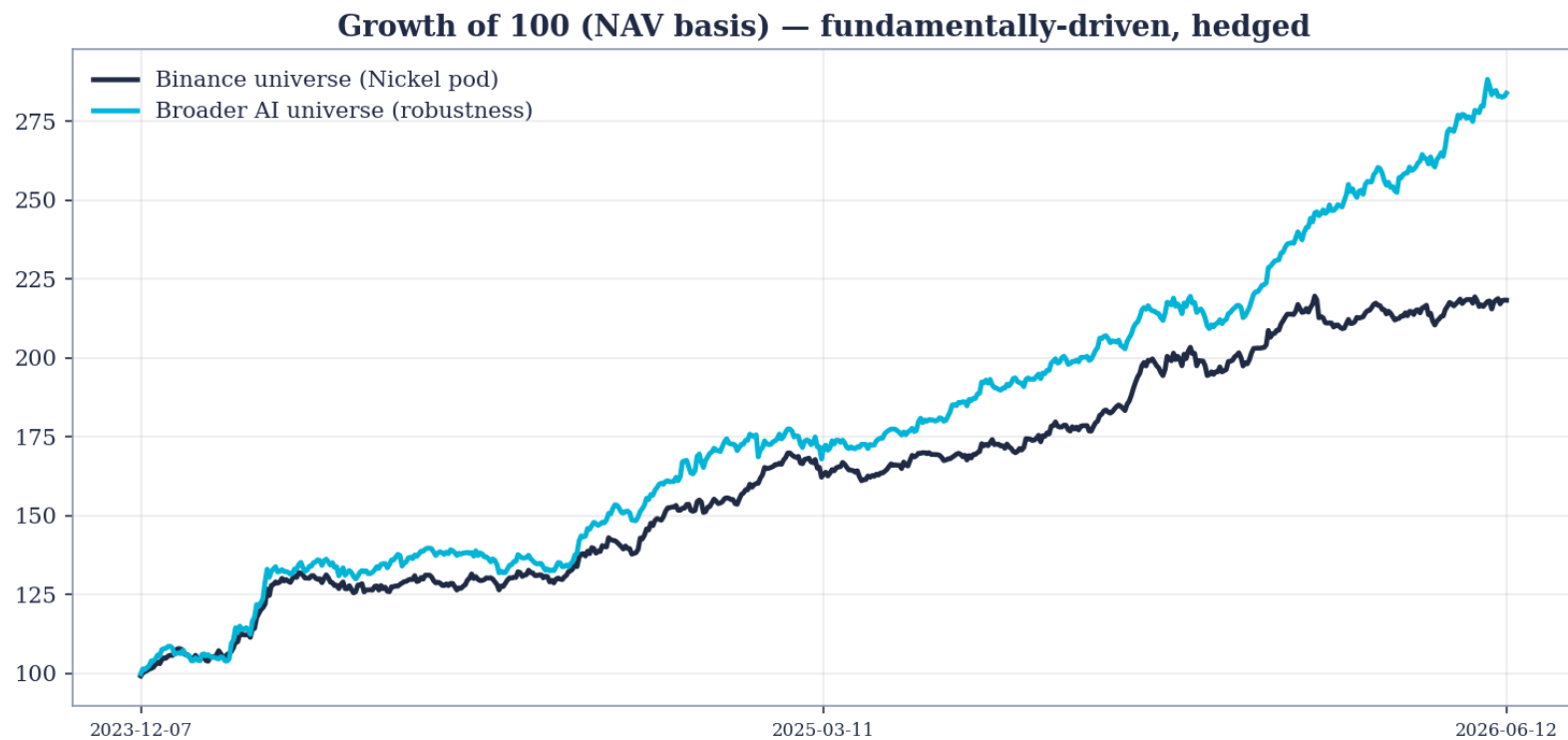
- Universe: tokenized US-equity perps on Binance (the Nickel pod's venue) — AI / semis / memory / networking.
- Edge: systematically own the AI SUPPLY CHAIN that's beating earnings (analyst EPS surprise), confirmed by momentum and a relative-valuation tilt — the quant version of how Tiger / Altimeter / SAA pick longs.
- Picks-and-shovels: own the suppliers (receive the capex); EXCLUDE the hyperscalers that SPEND it.
- Hedge: QQQ + SOXL neutralize market AND the AI-compute factor; a small +0.10–0.15 net-beta tilt.
- Return is ALPHA, not beta: ~78% of the backtest return is stock selection, ~22% market beta.
- The discipline peers lack: a 20%-NAV HARD drawdown stop, auto-enforced (they ran –40% to –56% in 2022).

How the signal works, operationally

Score: $1.0 \cdot z(\text{EPS surprise}) + 0.5 \cdot z(\text{momentum}) + 0.5 \cdot z(\text{cheap P/E}) \rightarrow \text{long the top 10}$

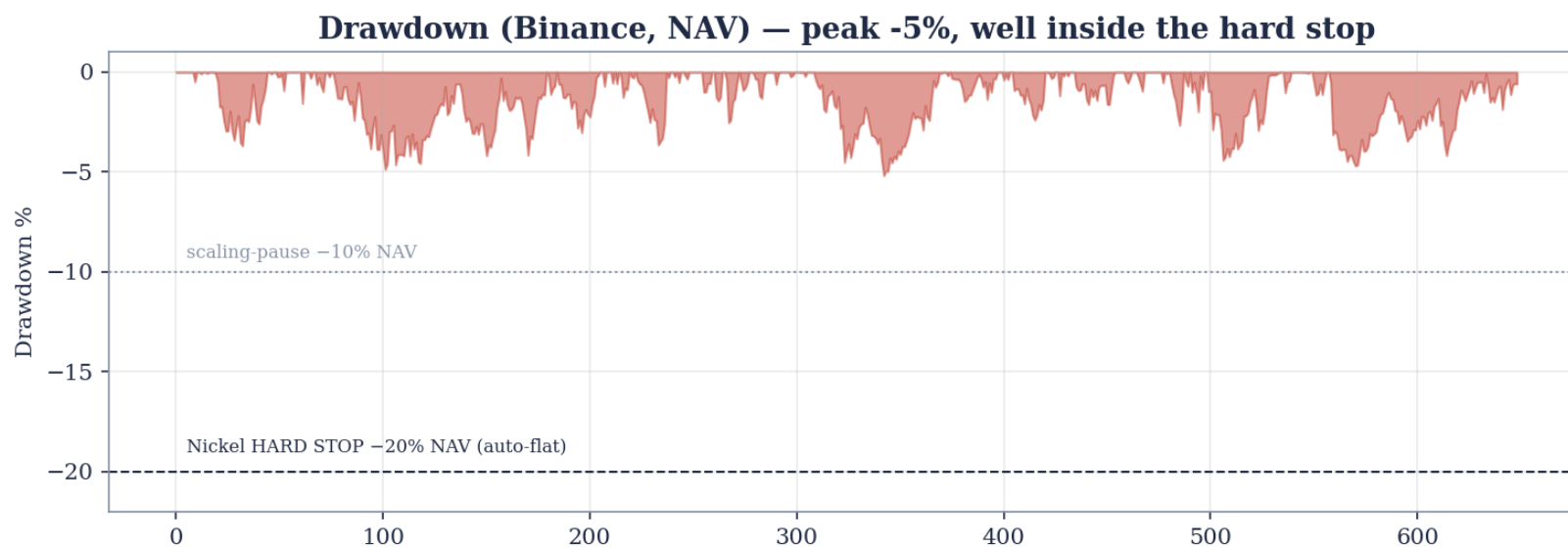
- EPS surprise (beat-and-raise) is NEW information each quarter $\rightarrow$ it ADDS to momentum, not redundant.
- Relative valuation (cheap trailing P/E) tilts among the good names toward the cheaper — validated to add.
- Construction: top-10 longs, per-name cap 15% (de-concentrate), QQQ+SOXL min-variance hedge, +0.12 net beta.
- Sizing on NOTIONAL (Nickel DAL): notional = $2 \times \text{NAV}$; gross $\leq 200\%$ notional; net $\leq \pm 30\%$ notional; vol-target 6%.
- Monthly rebalance + earnings-driven rotation; maker TWAP, $\sim 1 \times$ turnover, $\sim 8\text{--}15$ bps round-trip.
- Exclude AI-capex SPENDERS (hyperscalers); keep low-vol diversifiers — they cut drawdown.

Smooth compounding within the drawdown budget

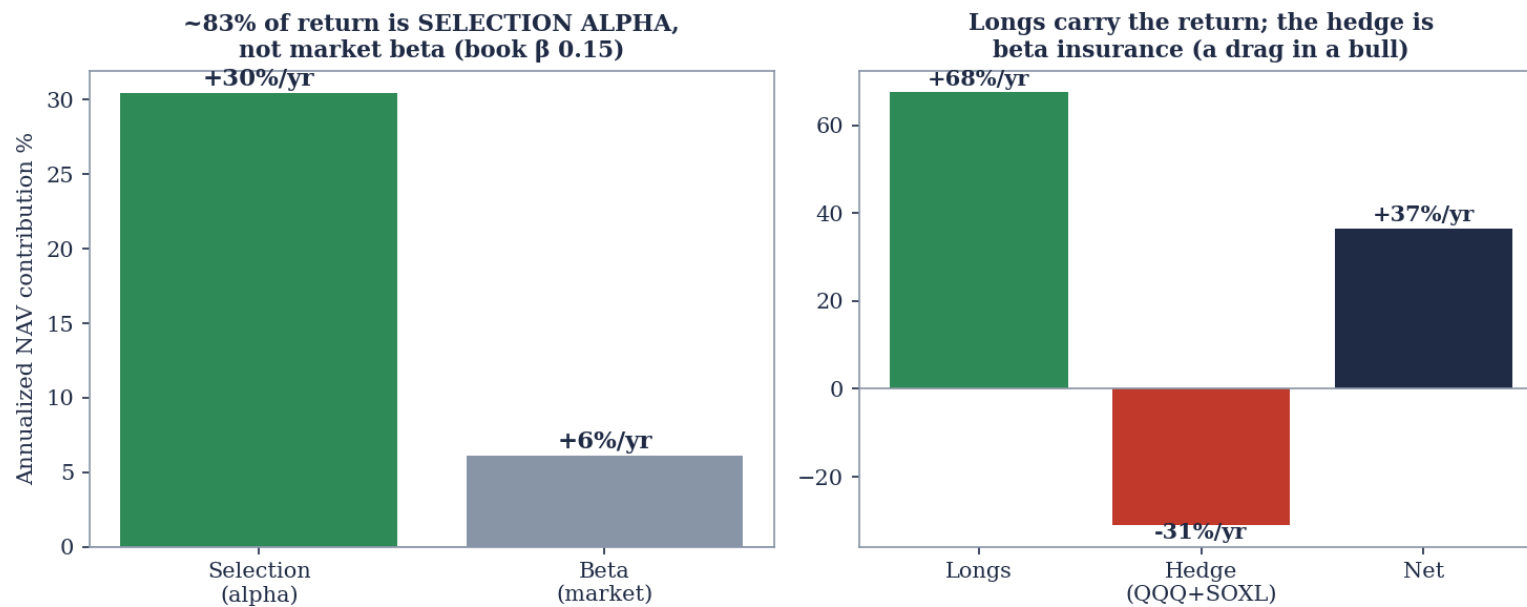


Source: Sentient Equity-RV PRODUCTION harness, ~2.5y, maker cost. One AI-bull regime — illustrative, not OOS-validated.

Drawdown stays well inside Nickel's 20% NAV hard stop



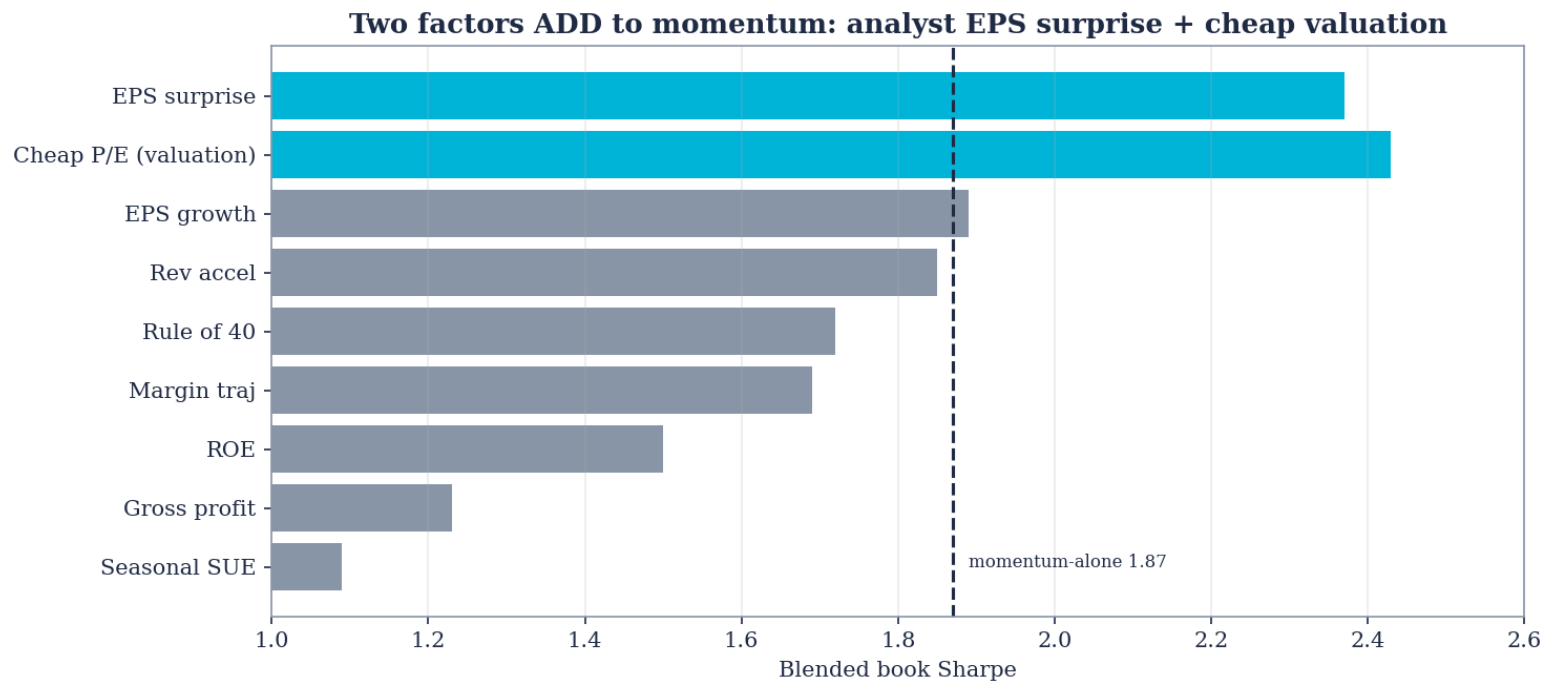
The return is alpha, not levered beta



Source: production harness, Binance, annualized. Book daily return regressed on SPY $\rightarrow$ beta vs selection; legs from realized P&L. NAV basis.

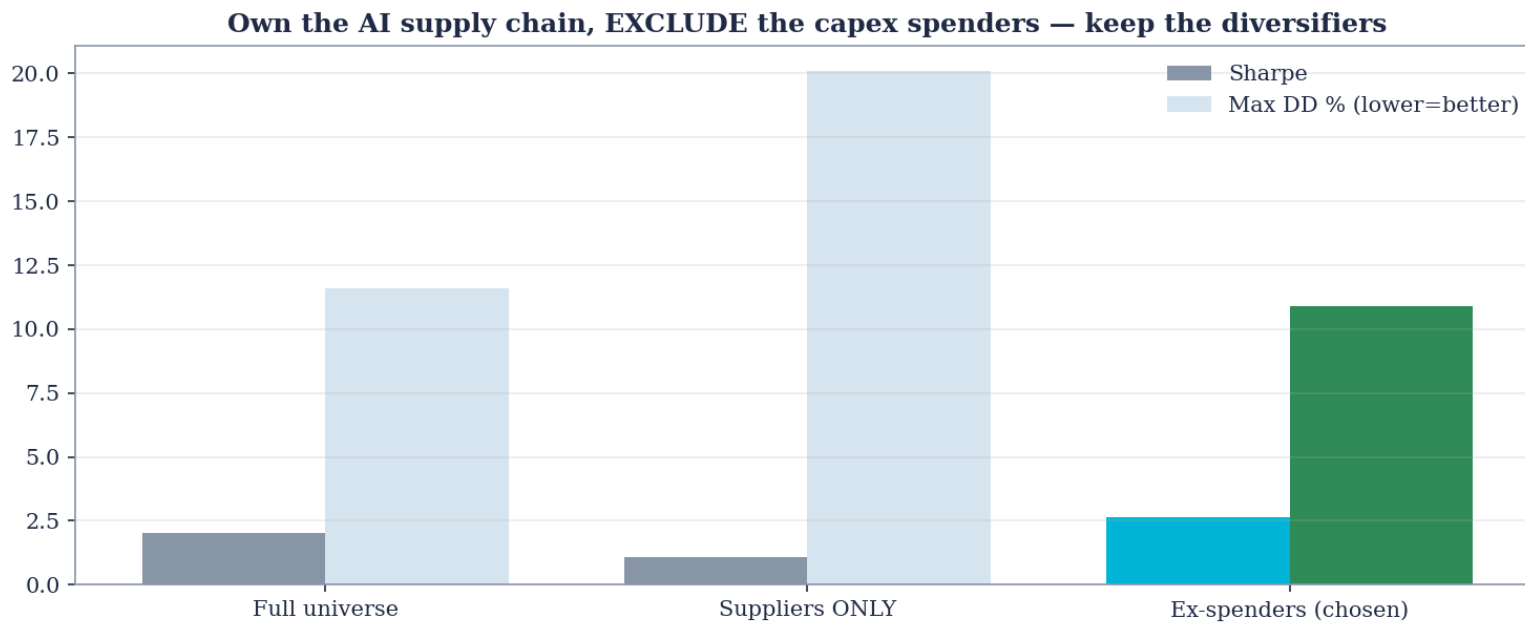
This is the distinction vs the net-long peer cohort (~ 0.99 beta to the S&P): our return survives the hedge because it is selection alpha.

The edge is a few orthogonal factors — not a kitchen sink



Source: single-factor + valuation-overlay tests. Cheap trailing P/E validated 2026-06 (100% of param configs); growth/quality dilute.

Own the suppliers, exclude the spenders — and keep the diversifiers



Source: universe test, Binance. Dropping hyperscaler capex-SPENDERS lifts Sharpe + cuts DD; suppliers-ONLY too concentrated (the non-AI diversifiers cut DD).

Pure-tech is NOT the risk-min book: AI/semis/memory are one correlated factor; the non-AI diversifiers are what keep DD low and Sortino high.

Clears Nickel's risk gates on the live (Binance) config

Metric (NAV basis)	Binance (Nickel)	Broader universe	Nickel DAL gate
Annualized return	+35%	+50%	—
Max drawdown	-7%	-7%	> -20% (hard stop)
Sharpe	2.70	3.30	—
Sortino	4.26	5.39	—
Selection alpha share	~83%	—	the edge, not beta
Net beta	+0.09	+0.10	≤ +0.30 notional
Gross / Net notional	38% / 21%	—	≤200% / ±30%

Honest read: one AI-bull regime; expect ~1.7 Sharpe through-cycle (robustness median), not the in-sample ceiling.

Institutional risk controls, enforced in-engine

- Sizing & limits — on NOTIONAL per the DAL: gross $\leq 200\%$, net $\leq \pm 30\%$, vol-target 6%.
- De-risk ladder — cut gross at 3/5/8% notional DD; 10%-notional / 20%-NAV HARD STOP auto-flattens.
- Forward risk loop — marks NAV daily and enforces the ladder/stop CONTINUOUSLY, not just at rebalance.
- HWM persistence — drawdown high-water-mark survives restarts; the stop never silently resets.
- Inherited DD at cutover — equity book takes over the account's USED drawdown, starts de-grossed.
- ADL / liquidity guard — cap to % of 24h volume + watch Binance auto-deleverage quantile; de-risk on stress.
- Execution safety gate — read positions first, abort on bad reads, clamp per-order growth (no doubling).
- Alerting — Telegram on every rebalance / gate-pause / DD event.

We deliberately give up beta — and the drawdown that comes with it

Fund	2024 / 2025	Net exposure	2022 drawdown
Light Street	+59% / +37%	net long	−54%
Whale Rock	+51% / +27%	net long	−43%
Tiger Global	+24%	high net long	−56%
Coatue	+19%	actively hedged	−19%
Viking (most hedged)	+8.6%	~40% net	best-defended
THIS strategy	~+35%/yr (1 regime)	+0.12 net beta	-7% (HARD-capped −20%)

Cohort beta ~0.99 to S&P, only ~4.2% alpha — 80–90% of peer headline is net-long BETA. Ours is mostly hedged alpha + a small bounded tilt.

Honest caveats and the path to live

- ONE regime: a ~2.5y AI bull. A correction is the untested case — the hedge + hard cap are built for it.
- In-sample metrics are optimistic OOS; we anchor on the ~1.7-Sharpe robustness median, not the ceiling.
- Signal coverage: analyst EPS surprise free on ~23/33 names → FMP Premium (\$59) extends it to all (incl NVDA).
- Capacity ~\$3–5M on Binance today; deepens as tokenized-RWA liquidity grows (a broader universe extends it).
- READY: production PMS, live data adapter, the full risk-engineering spine — all built and tested.
- Path to live: short operational shakedown → flatten crypto → MODE=live (inherit account DD) → scale on the ladder.